

# Employment Tax Rates and Withholding Thresholds

Calendar Year 2026 | Employer Compliance Circular EC-26/11 | Issued 13 November 2025

Table 1. Employment tax rates

| Component               | Employee | Employer | Self-Employed |
|-------------------------|----------|----------|---------------|
| Social Security (OASDI) | 6.20%    | 6.20%    | 12.40%        |
| Medicare (HI)           | 1.45%    | 1.45%    | 2.90%         |
| Total                   | 7.65%    | 7.65%    | 15.30%        |

Table 2. Wage bases and limits

| Item                      | 2026      | 2025      |
|---------------------------|-----------|-----------|
| Social Security wage base | \$181,800 | \$176,100 |
| Medicare wage base        | No limit  | No limit  |
| FUTA wage base (federal)  | \$7,000   | \$7,000   |
| FUTA effective rate       | 0.60%     | 0.60%     |

Table 3. Additional Medicare Tax — 0.9% surtax thresholds

| Filing status               | Threshold |
|-----------------------------|-----------|
| Married filing jointly      | \$250,000 |
| Married filing separately   | \$125,000 |
| Single                      | \$200,000 |
| Head of household           | \$200,000 |
| Qualifying surviving spouse | \$200,000 |

Table 4. Withholding allowance by payroll period

| Payroll period | Periods per year | Withholding allowance |
|----------------|------------------|-----------------------|
| Weekly         | 52               | \$96.15               |
| Biweekly       | 26               | \$192.30              |
| Semimonthly    | 24               | \$208.33              |
| Monthly        | 12               | \$416.67              |
| Quarterly      | 4                | \$1,250.00            |
| Annually       | 1                | \$5,000.00            |

The Additional Medicare Tax of 0.9 percent applies to wages, compensation and self-employment income in excess of the threshold shown in Table 3 and is imposed on the employee only; there is no employer match. Employers must begin withholding in the pay period in which cumulative wages for the calendar year exceed \$200,000, without regard to the employee's filing status or to wages paid by another employer. The withholding allowance amounts in Table 4 apply only to employees whose most recent withholding certificate was filed prior to 2020.